

Nepal Airlines Corporation Act, 1963

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Amending Acts

1. Royal Nepal Airlines Corporation (Amendment) Act, 2020 2020.11.16
2. Royal Nepal Airlines Corporation (Second Amendment) Act, 2026 2026.5.19
3. Royal Nepal Airlines Corporation (Third Amendment) Act, 2034 2034.9.18
4. Administration of Justice Act, 2048 2048.2.16

Certification and Publication Dates

5. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
6. Some Nepal Acts Amendment Act, 2072 2072.11.13

Act No. 45 of the year 2019

An Act Made to Amend and Consolidate the Nepal Airlines Corporation Act

Preamble: Whereas it is expedient to amend and consolidate the Royal Nepal Airlines Corporation Act, 2018, for maintaining the convenience of the general public,

This Act is made by His Majesty King Mahendra Bir Bikram Shah Dev under Article 93 of the Constitution of Nepal. Chapter-1

Preliminary

1. Short Title, Extent, and Commencement: (1) The name of this Act is "Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. Nepal Airlines Corporation Act, 2019".

(2) This Act shall apply throughout Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and, wherever located, to the Corporation established under this Act, its branches, the work carried out by it, and the persons working therein.

(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act, -

(a) "Aircraft" means any machine that can derive support in the atmosphere from the reactions of the air, and this term also includes powered or unpowered balloons, airplanes, kites, gliders, and other similar flying machines.

(b) "Air Transport Service" means a service for the carriage by air, by one or more flights, of persons, mail, or

any other living being, object, or thing for hire.

(c) "Co-operator in relation to the Corporation" means any person who has entered into an agreement with the Corporation under clause (j) of sub-section (2) of Section 13, or any auxiliary body of the Corporation.

(d) "Corporation" means the Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. Nepal Airlines Corporation established and constituted under this Act. Added by the Third Amendment.

(d1) "Committee" means the Board of Directors of the Corporation. Added by the Third Amendment. (d2)

"Chairperson" means the Chairperson of the Committee. Amended by the Third Amendment. (e) "Director" means a member of the Committee.

(f) "Managing Director" means the Managing Director appointed under this Act.

Amended by the Third Amendment. (g) "Scheduled Air Transport Service" means an air transport service operated regularly by the Corporation between any specified places according to a published time table, so as to be available for use by the general public. (gh) Deleted by the Third Amendment. Chapter-2 Establishment, Capital, and Management 3. Establishment of the Corporation: (1) Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. A Corporation by the name of Nepal Airlines Corporation shall be established. (2) The Corporation shall be an incorporated and autonomous body with perpetual succession. It shall have a separate seal for all its work. Subject to this Act, the Corporation may acquire, hold, possess, and transfer movable and immovable property. The Corporation may sue and be sued in its own name. (3) The head office of the Corporation shall be at Kathmandu or at any place specified by the Government of Nepal, and the Corporation may establish its branches within or outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. Amended by the Third Amendment. 4. Committee and Procedure of Directors: (1) For the management of the Corporation's affairs, the Government of Nepal shall constitute a Board of Directors consisting of a maximum of seven members, including the Managing Director if one is appointed. If the Government of Nepal deems necessary, it may also appoint as Directors non-governmental persons renowned in commerce, finance, and accountancy or having experience in the field of aviation and tourism promotion. (2) The term of office of Directors other than the Managing Director shall be four years, and a Director whose term has expired shall be eligible for reappointment. Provided that, a non-governmental person may generally be reappointed for only one additional term. (3) Notwithstanding anything contained in sub-section (2), the Government of Nepal may, if it wishes, remove any Director even before the expiry of his/her term. (4) The Government of Nepal may appoint from among the Directors the Chairperson and Vice-Chairperson of the Committee. The term of office of the Chairperson and Vice-Chairperson shall be at the pleasure of the Government of Nepal. (5) If the Government of Nepal so desires, it may assign the duties, etc., of the Managing General Manager under this Act to the Chairperson, Vice-Chairperson, or any Director and appoint him/her as the Executive Chairperson, Executive Vice-Chairperson, or Executive Director.

The salary, allowances, and other terms of service of the Executive Chairperson, Executive Vice-Chairperson, or Executive Director so appointed shall be as determined by the Government of Nepal.

(6) The Secretary of the Committee shall certify the decisions of the Committee.

(7) Six months before the expiry of the term under sub-section (2), the concerned Ministry shall propose to the Government of Nepal the names of Directors to be placed on the Committee. Amended by the Second Amendment. 5. Authorized Capital of the Corporation: The authorized capital of the Corporation shall be five crore rupees, and on the recommendation of the Committee, the Government of Nepal may, from time to

time, increase it by publishing a notice in the Nepal Gazette. Amended by the Third Amendment.6. Appointment of Managing Director: (1) If an Executive Chairperson, Executive Vice-Chairperson, or Executive Director of the Corporation has not been appointed, the Government of Nepal shall appoint a Managing Director. His/her salary, allowances, and other terms of service shall be as determined by the Government of Nepal.

(2) The duties, functions, and powers of the Managing Director shall be as determined by the Committee.

(3) The term of office of the Managing Director shall be four years, and the Government of Nepal may, if it wishes, extend his/her term by up to two years or reappoint him/her for another term. 7. Management: (1) The Government of Nepal may, after consulting the Corporation and keeping national interest in view, give such directions to the Corporation as it may deem necessary from time to time. It shall be the duty of the Corporation to comply with every such direction.

(2) The Committee shall oversee, direct, and manage all the work and activities of the Corporation. Except for matters expressly stated in this Act or the rules or regulations made under this Act as requiring approval from the Government of Nepal, the Committee shall exercise all powers and perform all duties vested in the Corporation. Provided that, the Committee may, subject to such conditions as it thinks necessary and appropriate, delegate to the Managing Director, or to a sub-committee, or to other officers of the Corporation, whether directly or through subordinates, the performance and exercise of such of its duties and powers as are specified in this Act or the rules or regulations made thereunder. Added by the Third Amendment. (3) The Corporation may, by making regulations under this Act, make provisions for the duties, functions, and powers of Directors.

Added by the Third Amendment. (4) Where the duties, functions, and powers of Directors are provided for under sub-section (3), the Chairperson shall evaluate the work and activities of the Directors and submit a report to the Government of Nepal each year. On the basis of such evaluation report, the Government of Nepal may increase or decrease the term of any Director. 8. Disqualification of Managing Director and Directors: The following persons shall not be eligible to become Managing Director or Director: - (a) Any employee or advisor of the Corporation other than the Managing Director, or Amended by the Third Amendment. (b) A person who has taken a contract or lease from the Corporation, or (c) An insolvent person unable to pay debts, or (d) A person of unsound mind or mentally unbalanced, or (e) A person who has been sentenced to imprisonment for a criminal offense involving moral turpitude. 9. Circumstances in which Managing Director and Directors may be Removed: The Government of Nepal may remove the Managing Director or any Director from office in the following circumstances: - (a) If he/she incurs any disqualification mentioned in Section 8, or (b) If, without the permission of the Committee, he/she is absent from meetings of the Committee more than three consecutive times and the reason for such absence is not considered reasonable by the Government of Nepal, or (c) If he/she violates Section 21 or is punished for an offense punishable under Section 25, or Amended by the Second Amendment. (d) If he/she is proven to have violated Section 22. 10. Resignation of Managing Director or Director and Filling of Vacancies occurring in the Interim: (1) The Managing Director or any Director may resign from office by giving written notice to the Government of Nepal, and upon acceptance of the resignation, he/she shall be deemed to have vacated the office. (2) If the office of the Managing Director or any Director becomes vacant before the expiry of the term for any reason, the vacancy shall be filled by nomination or by another appointment. However, the person so appointed shall hold office only for the remainder of the term of the predecessor. (3) No act or proceeding of the Committee shall be invalid merely by reason of any vacancy in the Committee or any defect in its constitution. Amended by the Third Amendment.11.

Committee Meetings: (1) Meetings of the Committee shall be held at such place and time as determined by the Chairperson of the Committee. (2) If more than half of the total number of Directors for the time being are present, the meeting shall be deemed to have a quorum. (3) The meeting shall be presided over by the Chairperson. In his/her absence, the Vice-Chairperson, if any, shall preside, and in the absence of the Vice-Chairperson, a Director chosen by the Directors present shall preside. (4) Decisions in Committee meetings shall be made by a majority. In the case of a tie, the person presiding shall cast a casting vote. (5) If at least three Directors request a meeting of the Committee, the Chairperson shall call a meeting at any time, notwithstanding anything contained in sub-section (1). 12. Temporary Appointment: If the Managing Director or a Director is unable to perform the work of the Corporation for a period due to illness, leave, or other reasons, the Government of Nepal may Added by the Third Amendment. make a temporary appointment of any person to that position until he/she is able to attend. Chapter-3 Duties, Functions, and Powers of the Corporation 13.

Duties, Functions, and Powers of the Corporation: (1) Subject to this Act and the rules made thereunder, it shall be the duty of the Corporation to make provision for safe, efficient, well-organized, economical, and appropriate air transport services everywhere within or outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 The Corporation may exercise its powers to develop air transport services so as to yield maximum benefit and to make such services available as far as possible at reasonable fares. (2) Without prejudice to the generality of the powers conferred by sub-section (1), the Corporation may, in particular, exercise the following powers: - (a) To operate any air transport service or to fly aircraft for commercial or other purposes, and to carry out all kinds of work related to air services, (b) To make provision for teaching and training in flying aircraft and all related matters to persons willing to be employed by the Corporation or to any other persons, (c) If necessary, with the prior approval of the Government of Nepal, to obtain assistance and services from an air transport organization outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 for carrying out any work related to air services that the Corporation is authorized to perform under this Act, (d) To acquire, hold, possess, sell, transfer, and carry out any other air transport related work with movable and immovable property, (e) To manufacture, repair, and produce aircraft, vehicles, or other machinery and spare parts for itself or for any other person, (f) To enter into, take, give, and execute all contracts and leases of a kind that assist in the exercise of its powers and the performance of its duties under this Act, (g) To act as agent or contractor for matters relating to air transport services operated by any other person, (gh) To enter into agreements with any person engaged in air transport so that such person may operate air transport services on behalf of the Corporation or jointly with the Corporation, (j) With the prior approval of the Government of Nepal, to collect fares for passengers and other determined charges for carriage by air transport services operated by it, (jha) With the prior approval of the Government of Nepal, to determine freight charges for goods carried by air transport services operated by it, (ta) To take necessary steps for the development of feeder services and for the improvement of the types of various aircraft used in air transport services, as well as for the development of air transport services operated by the Corporation within or outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066, Amended by the Third Amendment. (tha) To carry out any work beneficial to the Corporation or to make and improve arrangements for services and facilities such as transport services by water or land related to air transport services operated by the Corporation, and for catering, rest houses, hotels, goods warehouses, and (da) To do all things necessary and convenient for the performance of the duties and exercise of the powers conferred by this Act. (3) Nothing in this section shall be deemed to - (a) Authorize the Corporation to contravene any existing law of Nepal, or (b) Confer on any person a right to take any action against the Corporation or its employees in

respect of any duty not otherwise required to be performed or any liability not otherwise to be borne by them.

14. Acts and Proceedings that the Corporation may Carry Out: (1) The Corporation may do all things reasonable and necessary for the proper execution of its work.

(2) Without prejudice to the generality of the powers conferred by sub-section (1), the Corporation may carry out the following acts and proceedings: -

(a) To borrow from others by mortgaging the property of the Corporation,

(b) To lease, sell, or otherwise dispose of any property of the Corporation,

(c) To transact on behalf of the Government of Nepal, in accordance with the orders of the Government of Nepal, in respect of government funds deposited in the Corporation,

(d) Amended by the Third Amendment. To obtain recognition for the Corporation from foreign countries and to enhance public confidence in the Corporation,

(e) To do all other things incidental to the performance of the various types of work mentioned in this Act.

15. Monopoly to Operate Scheduled Air Transport Service: (1) From the date specified by the Government of Nepal by notification in the Nepal Gazette, no person other than the Corporation or its co-operator shall operate any scheduled air transport service coming within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 or going outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 or flying from one place to another in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

Provided that nothing in this section shall limit the right of any person: -

(a) To operate an air transport service, with the permission of the Government of Nepal for a specified period, to meet such needs if the Corporation is not capable of operating such service as the Government of Nepal deems necessary to various places within or outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066, or under an agreement between the Government of Nepal and the government of any foreign country, or to continue operating such air transport service under an agreement already made with the Government of Nepal before the commencement of this Act for the duration of that agreement, or

(b) To fly an aircraft carrying passengers primarily for the purpose of giving instruction related to the work and duties of aircraft pilots or for the inspection of aircraft by an aircraft controller, or

(c) To carry passengers and goods for providing relief in the event of any natural disaster, or

(d) To make a flight solely for pleasure, taking off from and landing at the same aerodrome or place without intermediate landing, or to conduct aerial surveys, firefighting, crop dusting, locust control, or for other aerial work of a similar nature, carrying passengers and goods only for that purpose.

(2) Any person operating a scheduled air transport service in contravention of this section shall be liable, for each offense, to a fine of up to Nepalese Rupees 1,000 (one thousand) or imprisonment for up to one year, or both. Explanation: For the purposes of this section, each flight shall be deemed a separate offense.

(3) If, after the expiry of the term of the agreement referred to in the proviso to sub-section (1), an extension of the term is required, or if after the commencement of this Act it becomes necessary to allow any person, company, or foreign government to operate a new air transport service in any other manner, the Government

of Nepal shall, after consulting the Corporation, decide on granting permission.

(4) The Corporation must obtain prior approval from the Government of Nepal to extend or carry out its work beyond the area approved by the Government of Nepal. Chapter-4

Fund, Accounts, and Audit

16. Fund of the Corporation: (1) The Corporation shall have a separate fund of its own. All income of the Corporation shall be credited to that fund, and all expenses shall be borne from that fund.

Amended by the Second Amendment. (2) The amount credited to the Corporation's fund shall be deposited, where Nepal Rastra Bank is located, in that bank, and where Nepal Rastra Bank is not located, in a bank designated by the Committee. If it is necessary to maintain a fund abroad for the operations of the Corporation, it shall be maintained, with the approval of the Government of Nepal, in a bank recommended by Nepal Rastra Bank. Explanation: The term "bank" includes branches and sub-branches of the bank. Added by the Third Amendment.16A. Balance sheet to be prepared and audited within four months: The Corporation shall prepare its balance sheet and profit and loss account and have them audited within four months of the end of its fiscal year. Amended by the Third Amendment.17. Audit: The audit of the Corporation shall be made in accordance with the prevailing law of Nepal. 18. Profit and Loss: At the end of each fiscal year, from the profit of that year, after setting aside such sums for reserve, depreciation, and other necessary sums as the Corporation deems fit, the remaining amount shall be deposited with the Government of Nepal. If there is a loss, it shall be compensated by the Government of Nepal. 19. Liability of Officers of the Corporation for Loss or Damage: No Director, Managing Director, or employee of the Corporation shall be personally liable for any loss or damage incurred while acting in accordance with the authority given to him/her, unless he/she acted dishonestly or knowingly misappropriated funds. Provided that nothing in this section shall be deemed to prevent any person from being liable to any penalty imposed for acting contrary to the rules made under this Act. Chapter-5 Miscellaneous Amended by the Third Amendment.20. Power of Government of Nepal to Suspend a Director: If necessary for the investigation of an allegation against a Director under this Act, the Government of Nepal may suspend such Director and may appoint another person as Director in place of the suspended Director until the investigation proceedings are concluded. 21.

Prohibition: (1) A Director, Managing Director, or employee of the Corporation shall not participate in any contract or lease entered into with the Corporation, and no person taking any contract or lease with the Corporation shall make them a partner. (2) If any person is found to have done any act prohibited by sub-section (1), such contract or lease shall be void, and no claim for any type of expense or compensation in relation to that contract or lease shall be made by the person taking the contract or lease or by anyone on his/her behalf. Explanation: The Managing Director, Director, or employee shall be deemed to be a partner in the following circumstances: - (a) If, in a contract or lease with the Corporation, his/her own name or the name of any member of his/her joint family, or on behalf of a company in which he/she is a Managing Director or agent, is included as a partner, or (b) If he/she is a shareholder in any firm or private limited company that is a partner in a contract or lease with the Corporation. 22. Oath of Secrecy and Fidelity to be Taken: Before assuming office, every Director, Managing Director, Deleted by the Third Amendment. officer, and other employee of the Corporation shall take an oath Amended by the Third Amendment. according to the Schedule. 23. Settlement of Disputes by Arbitrator: (1) Deleted by the Third Amendment. If any dispute arises between the Committee, the Managing Director, or any other officer or employee of the Corporation concerning any contract existing between them, such dispute shall be settled only by a single arbitrator appointed by the Government of Nepal, as the case may be. (2) The arbitrator shall have the same powers

as a court in respect of hearing witnesses and evidence, summoning parties, and requiring the production of documents for the dispute referred to the arbitrator under sub-section (1). (3) The decision of the arbitrator shall be final and binding on both parties. 24. Dissolution: The Corporation shall not be dissolved without an order of the Government of Nepal. If dissolution is required, it shall be carried out according to the decision given by the Government of Nepal in this regard. 25.

Penalties: (1) If any person obstructs an auditor appointed under this Act, or an accountant or other employee authorized by him/her, in the performance of their duties, or without reasonable cause fails to provide any document or information demanded under the authority of this Act or rules made thereunder, or is negligent in providing them, such person shall be liable to a fine of up to Nepalese Rupees 1,000 (one thousand). (2) If any person knowingly makes or causes to be made any false statement in any bill of lading, warehouse receipt, or any other document deposited or to be deposited with the Corporation as security for any facility granted by the Corporation under this Act, such person shall be liable to imprisonment for up to two years, or a fine of up to Nepalese Rupees 2,000 (two thousand), or both. (3) If any person uses the name of the Corporation in any prospectus or advertisement without the written consent of the Corporation, such person shall be liable to imprisonment for up to one year, or a fine of up to Nepalese Rupees 1,000 (one thousand), or both. (4) If any person who is for the time being a Director, Managing Director, or employee of the Corporation violates Section 21 by participating in or being a partner in any contract or lease, such person shall be liable to imprisonment for up to one year, or a fine of up to Nepalese Rupees 1,000 (one thousand), or both. (5) No court shall take cognizance of any offense punishable under this Act except upon a written complaint signed by an officer authorized for that purpose by the Corporation. Provided that nothing in this sub-section shall prevent the Government of Nepal from taking action or requesting action. (6) The jurisdiction for the initial hearing and disposal of cases under this Act shall be with the Amended by the Some Nepal Acts Amendment Act, 2072. High Court. 26. Annual Report: Amended by the Third Amendment. Within two months of the audit of the Corporation's accounts under Section 17 and receipt of the audit report, the Managing Director shall submit the annual report of the Corporation to the Committee. The Committee shall consider the report so submitted within one month and forward it to the Government of Nepal with its conclusions. 27. Power to Make Rules: Amended by the Third Amendment. The Government of Nepal may make rules for the purpose of implementing this Act. 27A.

Power to Make Regulations: Added by the Second Amendment. Subject to this Act and the rules made under this Act, the Corporation may make regulations to regulate all its work and activities. Provided that the Corporation must obtain the approval of the Government of Nepal when making regulations on the following matters: - (a) Determining the duties, functions, and powers of Directors, (b) Regulating the salary, allowances, gratuity, pension, and welfare fund of the Corporation's employees. 28. Application in case of conflict: Matters stated in this Act or the rules made under this Act shall be dealt with accordingly, and on other matters, the prevailing law of Nepal shall apply. 29. Repeal and Validation: Amended by the First Amendment. (1) The Nepal Airlines Corporation Act, 2014 is repealed. Amended by the First Amendment. (2) All acts and proceedings done in relation to the Corporation before the commencement of this Act shall be deemed to have been done under this Act. Schedule (Relating to Section 22) Oath of Honesty and Confidentiality I, do swear that I will, to the best of my ability and capacity, faithfully and honestly perform the duties incumbent upon me in all proper matters relating to my office as a Director, Managing Director, employee, or auditor of the Corporation. I further swear that I will not disclose or cause to be disclosed any information concerning the Corporation to any unauthorized person, nor permit any unauthorized person to inspect or take possession of any book or document under the control of the Corporation and relating to it.